



jewellery workers at Surat going back to Orissa. A lot needs to be done and the focus should be on the household rather than the sector because you can't always differentiate between adjustment that ought to be permanent and adjustment which is temporary.

Goyal: There are some measures; for example, credit availability for micro and small enterprises which is helpful. But the key judgment here is how long is the external demand slowdown going to continue. Because if it is going to continue long then you can't just keep supporting unviable enterprises. They have to move out somewhere else. So, in that sense the philosophy/method underlying the madness is that you generate demand and there are new kind of opportunities.

Debroy: See, it also depends on what we mean by the crises sector. For instance, one can possibly argue that the most crises-hit sector today are represented by the BJP, SP and BSP. But more seriously, I think the question to ask is how do we address the crisis? Do we address it by improving the environment, which I think the Budget does, including something that has not been mentioned. I think if it takes off, it will be pretty significant—which is privatisation or the quasi-privatisation of employment exchanges. So in that broader sense, it does. If one is talking about sops or bailouts, the trouble is if I do it for housing how do I know where to stop, why don't I do it for education, etc. One of the good things about this Budget is that it has been very successful in resisting the demand for exemptions, which must have come from a variety of sectors.

WHAT IF WE HAVE A DROUGHT?

Has the possibility been factored in?

Dev: If the monsoon fails, it will impact GDP. In 2002-2003 we had negative growth of 4 per cent something in agriculture when GDP was less than 2 per cent or something. Agriculture's share in GDP may be only 17 per cent but the indirect impact on rural demand is tremendous.

Debroy: Most of the times when we hear about the monsoon leading to disaster, it is typically in dry land areas and these areas make precious little difference to India's GDP. Yes, it is a human tragedy for sure in those areas. Having said that, do we have enough reserves for public intervention? The answer is, yes, we do. At least on paper we do. So, in that sense we should not get worried about the monsoon. We do need to do something about bringing more land under irrigation and investing more money in irrigation projects.

Goyal: We are in a good position since the food stocks are very large. And that is, funnily, thanks to a policy error, of raising procurement prices too high. But the Government must know that the formula of raising wages and then raising procurement prices has its limitation.

Dev: Fortunately, this year's projections show better rains in July and August. And if we can make up we will be al-



BANDEEP SINGH

“A good thing about this Budget is that it has successfully resisted the demand for exemptions.”

BIBEK DEBROY, Professor, Centre for Policy Research & IMI

right, because we compared the rainfall for last four years in June and it has been generally deficient, except last year. So, if we make up in July and August, there won't be any problem.

WILL IT SPUR DEMAND?

Can rural rush boost consumption?

Ranade: It will create demand. There will be a boost in consumption in consumer goods and in low-cost housing. The secondary impact will be on intermediate and capital goods. Second, the retention of the excise cuts the government announced in February as part of the stimulus package will also help in demand creation.

Goyal: Yes. Consumption will get a boost in low-level and fast moving consumer goods. Higher investment in infrastructure will trigger demand for cement and steel. Add the impact of tax cuts and if to some extent interest rates come down, we should see consumer durables also revive.

Dev: Yes. The increase in spending in infrastructure, the refinancing option offered by the India Infrastructure Finance Company Limited will push spending and help steel and cement sectors. The other sector which will benefit is FMCG because of the rural spending.